The Aurelian Peak Fund

Private Placement Memorandum — SAMPLE DOCUMENT

(A company incorporated with limited liability under the laws of the Republic of Zandria)

1 March 2030

> **SAMPLE / ILLUSTRATIVE DOCUMENT.** The Aurelian Peak Fund, Northwind Capital House, and every person, company, regulator, law, licence and figure named below are fictional. This document is a structural template for training, drafting practice or demonstration. It is not an offer or solicitation, has not been reviewed by any regulator, and must not be used to market or sell any security.

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Important Notices

The Directors, whose names appear in Section VII, accept responsibility for the information contained in this document. To the best of their knowledge and belief (having taken all reasonable care), the information is in accordance with the facts and does not omit anything likely to affect its import.

Regulatory status (fictional). The Zandria Financial Services Authority ("ZFSA") has issued a Category 1 Global Business Licence to the Fund, which operates as a collective investment scheme under the Zandria Securities Act. The ZFSA does not vouch for the financial soundness of the Fund or the correctness of statements made in this document.

Risk. This investment involves significant risk and is suitable only for investors of substantial net worth who can bear the complete loss of their investment and who do not need immediate cash returns. See "Risk Factors".

No offer where unlawful. This document is not an offer or solicitation in any jurisdiction where such offer would be unlawful, or to anyone who has not completed a Subscription Agreement satisfactory to the Fund. The Fund may reject any subscription in whole or part and may amend the terms of the offering.

Reliance. Investors may rely only on this document (including amendments and supplements) and written answers supplied by the Fund on request. Delivery of this document does not imply that information is correct as of any later date.

Tax and legal advice. Prospective investors should consult their own legal, tax and financial advisors about the consequences of acquiring, holding and disposing of Shares under the laws of their citizenship, residence and domicile.

Selling restrictions. Distribution of this document and the offering of Shares may be restricted in certain jurisdictions. Persons receiving it must inform themselves of and observe all applicable restrictions. Sample legends for common regimes (each fictional here) would address: public-offer prohibitions; limitation to professional or institutional investors; absence of local regulator review; unavailability of local investor-compensation schemes; and exemptions relied on for private placement.

Contact Information

Role	Entity	Address
Fund	The Aurelian Peak Fund	c/o Harbourline Fund Services Ltd, 14 Coral Quay, Port Marell, Zandria
Sponsor	Northwind Capital House	200 Meridian Tower, Karsta City, Calderon
Investment Manager	Aurelian Asset Management Ltd	c/o Harbourline Fund Services Ltd, 14 Coral Quay, Port Marell, Zandria
Investment Advisor	Northwind Capital Advisors (Veridia) Pvt Ltd	8th Floor, Lotus House, Marine Road, Alderpore, Veridia
Administrator	Harbourline Fund Services Ltd	14 Coral Quay, Port Marell, Zandria
Custodian	Continental Trust Bank Ltd	3rd Floor, Beacon Plaza, Alderpore, Veridia
Auditors	Whitmore & Pryce LLP	22 Admiralty Street, Port Marell, Zandria
Legal Advisors (Veridia)	Calloway Reyes & Partners	40 Fountain Court, Alderpore, Veridia
Legal Advisors (Zandria)	Isolde Marchetti, Attorney	5 Tidewater Lane, Port Marell, Zandria

I. Definitions

"Administrator" means Harbourline Fund Services Ltd, 14 Coral Quay, Port Marell, Zandria.

"Administration Agreement" means the agreement between the Fund and the Administrator under which the Administrator administers the operations of the Fund.

"Advisory Agreement" means the agreement between the Investment Manager and the Investment Advisor under which the Advisor renders non-binding advisory services.

"Advisory Fees" means the fee paid by the Investment Manager to the Investment Advisor.

"Auditors" means Whitmore & Pryce LLP.

"Board" means the board of directors of the Fund.

"Business Day" means a day on which banks are open for business in Zandria, Veridia and/or such other places as the Board or Investment Manager may determine.

"Class A Shares" means redeemable participating shares of par value USD 100, issued in series and available to Eligible Investors.

"Class B Shares" means redeemable participating shares of par value USD 0.01, issued to the Investment Manager or its nominees, carrying the Performance Profit Allocation.

"Class Account" means a separate sub-account in the Fund's books for determining Net Asset Value per Share.

"Constitution" means the Constitution of the Fund.

"Custodian" means Continental Trust Bank Ltd or another reputable bank appointed by the Board.

"Dealing Day" means the first Business Day of each month, or such other days as the Board or Investment Manager may determine.

"Eligible Investor" has the meaning given in Section X.

"FII" means a foreign institutional investor approved by the Veridian Securities Board to invest in Veridian securities.

"ZFSA" means the Zandria Financial Services Authority.

"High Water Mark" means, for each series, the greater of (i) the Net Asset Value per Share at issue and (ii) the highest Net Asset Value of that series at any preceding fiscal year-end, after deduction of any Performance Profit Allocation.

"Ineligible Applicant" means a person described under "Ineligible Applicants" in Section X.

"Initial Fee" means a fee of 2.0% of the subscription amount up to USD 499,999; 1.5% for amounts up to USD 999,999; and 1.0% for amounts above USD 1,000,000, which may be charged on subscriptions for Class A Shares.

"Initial Offer Period" means the period beginning 1 March 2030 and closing at 5:00 PM (Zandria time) on 30 May 2030, or such other dates as the Board or Investment Manager may determine.

"Investment Advisor" means Northwind Capital Advisors (Veridia) Pvt Ltd.

"Investment Committee" means the committee formed by the Investment Manager to take investment and divestment decisions.

"Investment Manager" means Aurelian Asset Management Ltd, a company incorporated in Zandria and wholly owned by the Sponsor.

"Investment Management Agreement" means the agreement between the Fund and the Investment Manager.

"Lock-up Period" means the period ending on the first anniversary of the date Shares were first issued (or acquired in a secondary transfer), during which Shares will not be redeemed.

"Management Fee" means the fee payable to the Investment Manager under the Investment Management Agreement.

"Management Shares" means irredeemable, non-participating shares of par value USD 1 held by the Investment Manager, carrying voting rights.

"Minimum Holding" means USD 250,000 for Class A Shares.

"Net Asset Value" means the net asset value of the Fund, a Class or a series, determined in accordance with the Constitution.

"Offer Period" means the period beginning five days before each Dealing Day and closing at 5:00 PM (Zandria time) on the Dealing Day.

"Performance Period" means each calendar year from 1 January to 31 December; for the first period, the date after the close of the Initial Offer Period to 31 December 2030.

"Performance Profit Allocation" means the entitlement of the Investment Manager or its nominee, based on Class A performance, allocated to the Class B Shares.

"Reference Price" means, for any Share, the Net Asset Value at the start of the first Business Day after the last Performance Profit Allocation date (net of Management Fee), or the issue price if none has been determined.

"Special Resolution" means a resolution passed by 75% or more of votes cast. **"Ordinary Resolution"** means a resolution passed by an absolute majority of votes cast.

"Sponsor" means Northwind Capital House, a company incorporated in Calderon.

"US Person" means a person other than a Non-United States Person as defined in Regulation S under the US Securities Act of 1933.

"Valuation Day" means the last Business Day of each month, or such other days as the Board may determine.

All currency references are to US Dollars ("USD") unless stated; all times are Zandria time.

II. Key Information

Reliance on this Memorandum

Shares are offered solely on the basis of information in this document. Neither delivery of this document nor any issue of Shares implies that there has been no change in the Fund's affairs since its date.

The Fund

The Fund was incorporated on 15 February 2030 as a public company with limited liability under the laws of Zandria and is registered as a collective investment scheme with the ZFSA. It is an open-ended fund, issues Shares in classes and series, and primarily invests in securities of Veridian companies. Currently only Class A Shares are offered. The Investment Manager may establish Alternate Investment Vehicles (feeders or parallel structures) to address tax or regulatory issues of particular investors.

The Fund has appointed a Zandrian Administrator, registrar and company secretary and three Zandrian resident directors, and will hold Board meetings in Zandria. It holds a tax residency certificate from the Zandria Revenue Authority and expects to benefit from the Zandria–Veridia double tax treaty, provided it has no permanent establishment in Veridia. The Fund will seek registration as a broad-based sub-account of the Sponsor under the Veridian FII Regulations.

The Sponsor

Northwind Capital House is a Calderon-based investment bank founded in 1999, with operations across its home region and other emerging markets. It is listed on the Calderon Stock Exchange and has approximately USD 8 billion under management and over 400 employees. *(All figures fictional.)*

The Investment Manager

Aurelian Asset Management Ltd, a subsidiary of the Sponsor, manages the Fund under the Investment Management Agreement, with discretionary authority exercised subject to Board supervision. It subscribes for the Management Shares and receives the Management Fee.

The Investment Committee

The Committee takes investment and divestment decisions on the non-binding advice of the Investment Advisor; its decisions are periodically ratified by the Investment Manager's board. Members:

- **Daniel R. Okafor-Lindqvist, CFA** — Executive Vice President, Northwind Capital House. 25 years in asset management and corporate finance; former portfolio manager at a regional national bank.
- **Priyanka S. Vandermeer, CFA** — Head of Alternative Investments. 14 years in research, fund management and corporate finance; oversees USD 2 billion in alternatives.
- **Marcus T. Hollenbeck** — Head of Hedge Funds. 12 years in hedge funds, private equity and corporate finance, with prior transaction-advisory experience at a global accounting firm.
- **Lena Albrecht-Osei** — Assistant Fund Manager, Hedge Funds. 7 years across insurance, equity investment and hedge funds, including Asian equity analysis and portfolio management.

The Investment Advisor

Northwind Capital Advisors (Veridia) Pvt Ltd provides non-binding advice to the Investment Manager for an Advisory Fee paid at arm's length. Team:

- **Rohan K. Ashworth** — Director & Head, Funds Advisory. 20 years' experience across market cycles; former Chief Investment Officer of a large Veridian mutual fund with over USD 4 billion managed.
- **Tamsin V. Prakash** — Director & Country Representative. 11 years in equity and economic research; opened the Sponsor's Veridian office.
- **Elias Moretti** — Senior Analyst. 3 years of sell-side research focused on banking and financial services.

Investment Rationale

Veridia offers a large, young population, rising domestic consumption, heavy infrastructure spending and a deep, liquid equity market with thousands of listed companies. The Fund believes equity is an appropriate asset class to capture this growth and that small and mid-sized companies, often overlooked by institutions with shorter horizons, offer attractive opportunities. *(Illustrative statements; no statistic here is real.)*

Investment Objective

The Fund is absolute-return oriented with a long bias, seeking long-term capital appreciation by investing directly or indirectly in equity-related instruments of Veridian companies. It may use long and short positions, stock and index futures and options, depositary receipts, pre-IPO investments, and securities borrowing and lending, in line with regulation.

During the Initial Offer Period up to 5,000,000 Class A Shares are offered at USD 100 each (up to USD 500 million). The Board may increase the size by USD 500 million but the Fund will not exceed USD 1 billion. Minimum subscription is USD 250,000, which the Board may waive.

Investment Process

Opportunities are sourced through research, company visits and industry contacts and evaluated on fundamental, operational, managerial and valuation criteria. The Advisor uses discounted cash flow, comparable-company and financial-statement analysis, and focuses on absolute rather than relative performance. Positions are exited when valuation gaps close, growth-adjusted multiples look excessive, returns on capital decline, or management under-delivers.

Risk Management

Risk controls cover (1) research-driven, diversified positions; (2) consistent valuation discipline; (3) concentration limits by security, sector and market capitalization; and (4) net long exposure between 25% and 75%. For example, a 25% net long exposure could be 62.5% long and 37.5% short.

III. Summary of Principal Terms

Term	Summary
Structure	Open-ended Zandrian public company registered as a collective investment scheme; three resident directors; resident administrator and secretary; books kept at the registered office.
Alternate Investment Vehicles	May be organized in any suitable jurisdiction to address investor tax or regulatory issues; they invest in the Fund or alongside it.
Investment Manager	Aurelian Asset Management Ltd; discretionary authority under Board supervision; may delegate certain functions to a branch.
Investment Advisor	Northwind Capital Advisors (Veridia) Pvt Ltd; non-binding advice; paid by the Manager.
Class A Shares	Par USD 100; represent investor capital; no general voting rights except on adverse variation of class rights (75% approval).
Class B Shares	Par USD 0.01; 1,000 shares subscribed by the Investment Manager or nominees; receive the Performance Profit Allocation; participate in profits but not losses.
Management Shares	Par USD 1; hold voting rights; no dividend entitlement beyond return of par on winding up.
Eligible Investors	See Section X. Residents and persons of Veridian origin must consult the Investment Manager first.
Initial Offering	Up to 5,000,000 Class A Shares at USD 100; 1 March – 30 May 2030; up to USD 500 million (cap USD 1 billion).
Subsequent Subscriptions	Monthly at Net Asset Value per Share; applications and cleared funds due by 5:00 PM on the Valuation Day before the Dealing Day.
Minimum Investment	USD 250,000 (Board may accept less).
Initial Fee	Up to 2.0% / 1.5% / 1.0% on a tiered basis (see Definitions).
Management Fee	2% per annum of Class A Net Asset Value, calculated monthly in arrears.
Performance Profit Allocation	20% of appreciation above the Reference Price, subject to the High Water Mark; annual.

Term	Summary
Lock-up	One year from issue.
Redemption	Quarterly on the first Dealing Day, on 45 Business Days' written notice, at Net Asset Value; 10% gate; minimum residual holding USD 5,000.
Settlement	Normally within 14 Business Days of the Dealing Day.
Reports	Semi-annual unaudited and annual audited statements; year-end 31 December.
Tax status	Zandrian tax at 15% on net income with a deemed foreign-tax credit of 80%, giving an effective rate of 3% on foreign-source income *(fictional)*.
Valuation	Monthly by the Administrator, in USD.

IV. Investment Objective, Approach and Risk Management

Investment Objective

Absolute-return oriented long-term capital appreciation through investment, directly or indirectly, in equity and equity-related instruments of Veridian companies, including those listed outside Veridia. Instruments include stock and index futures (long/short), options (including covered calls and puts), depositary receipts, IPOs and securities borrowing and lending. The Fund will operate as a sub-account of the Sponsor under the Veridian FII Regulations.

Investment Approach

- Growth at reasonable valuations; long bias; the Fund is not expected to be net short overall.
- Focus and prudence: invest only where the Manager believes it has an edge and reduce positions as fundamentals deteriorate.
- Market-cap agnostic, with a cap on small- and mid-cap exposure.
- Rigorous bottom-up research on every holding, with macro trends as a secondary input.
- About 30–50 holdings diversified across industries.

Some securities may be illiquid, which can limit the Fund's ability to exit positions or realize valuations. The Fund may use covered options, straddles, arbitrage between securities of one issuer or different issuers, and cash or money-market instruments when appropriate. If the Manager materially changes the investment objective or strategy it will give written notice and Shareholders may redeem without regard to any lock-up or redemption fees.

Investment Process; Evaluation and Selection; Holding and Exit

As described in Section II.

Risk Management

As described in Section II. Net long exposure ranges between 25% and 75%.

Borrowing and Leverage

The Fund does not currently intend to use leverage. Where appropriate it may borrow or use derivatives, but long-term borrowings will not exceed 50% of assets under management. Investments will also be subject to the restrictions applicable to broad-based sub-accounts.

V. Investment Manager

Aurelian Asset Management Ltd, a subsidiary of the Sponsor, was incorporated in Zandria on 15 February 2030 as a private company limited by shares. It manages the Fund's affairs and takes investment decisions subject to Board supervision, and receives a 2% Management Fee. It may delegate certain investment functions to a branch office in Zandria or elsewhere, and has delegated certain administrative duties to the Administrator.

Directors of the Investment Manager (principal responsibility for Fund investments):

- **Daniel R. Okafor-Lindqvist, CFA** and **Priyanka S. Vandermeer, CFA** — see Section II.
- **Camille A. Rousseau** — Finance Manager, Harbourline Fund Services Ltd. 15 years in audit and accounting; fellow of a chartered accountancy body.
- **Nikolai P. Desrosiers** — Business Development Manager, Harbourline Fund Services Ltd. Extensive experience structuring and administering private companies, private equity and hedge funds.
- **Idris Q. Mahabir** — Director, Harbourline Fund Services Ltd. Specialist in structuring Zandrian companies to benefit from the treaty network; 10+ years of regional investment experience.

Investment Committee: see Section II (Okafor-Lindqvist, Vandermeer, Hollenbeck, Albrecht-Osei).

VI. Investment Advisor

Northwind Capital Advisors (Veridia) Pvt Ltd was incorporated in Veridia in 2027 as a private limited company providing advisory services. It maintains skilled investment professionals for advising on, investigating, structuring, monitoring and disposing of investments, and may arrange other consultants with the Manager's approval. Advisory personnel: Rohan K. Ashworth, Tamsin V. Prakash and Elias Moretti (see Section II).

VII. Board of the Fund

Board's Functions

The Board is responsible for the overall management and control of the Fund and intends to meet at least twice a year, receiving periodic performance and portfolio reports from the Investment Manager. It may appoint Prime Brokers.

Directors

- **Ms. Adaeze M. Lindgren** — Chairperson & Managing Director, Northwind Capital House. Founding member with 22 years in portfolio management and investment banking; sits on several financial-sector boards.
- **Mr. Tobias E. Faraday** — Executive Vice President, Northwind Capital House. 30 years in the region's capital markets; chairs and directs several financial and leasing companies.
- **Mr. Samir J. Cassimjee** — Managing Director, Harbourline Fund Services Ltd. Stockbroking licence holder; director of the Zandria Stock Exchange.
- **Ms. Odette N. Ravelomanana** — General Manager, Harbourline Fund Services Ltd. Heads Fund Administration; fellow of a chartered accountancy body.
- **Mrs. Yusra F. Bhunjun** — Manager, Harbourline Fund Services Ltd. Chartered secretary with 13 years' experience in corporate administration, trusts and compliance.

VIII. Administrator to the Fund

Harbourline Fund Services Ltd is a Zandria-based company licensed by the ZFSA to provide incorporation, company secretarial and fund administration services. It administers the Fund's Zandrian tax affairs, acts as registrar and secretary, and maintains the Fund's books and records. The Fund may change these arrangements and appoint an alternative administrator.

IX. Custodian to the Fund

Continental Trust Bank Ltd is appointed under a custody agreement terminable by either party. It holds the Fund's securities and other assets in segregated client accounts, separately identifiable and unavailable to the Custodian's creditors in insolvency. It may appoint sub-custodians, exercising reasonable skill, care and diligence in their selection and supervision, but is otherwise not responsible for assets placed with them.

X. Subscriptions

Offer

Up to 5,000,000 Class A Shares at USD 100 during the Initial Offer Period. No part of the offer is underwritten or guaranteed. The Investment Manager or nominees subscribe for 1,000

Class B Shares at USD 0.01. The Initial Fee (see Definitions) is payable over and above the subscription amount to the Manager or intermediaries, or at the Board's discretion by the Fund.

Subsequent Subscriptions

After the Initial Offer Period, Class A Shares are offered monthly at Net Asset Value per Share, each Offer Period forming a separate series. Applications and cleared funds must arrive by 5:00 PM on the day before the Valuation Day. The minimum is USD 250,000 unless the Board decides otherwise. The Board may close the Fund to new subscriptions.

Procedure

Applicants complete an Application Form (US Persons use a separate form) and send it, with a faxed or scanned copy, to the Administrator or the Sponsor, with cleared funds by wire. Late applications are held over to the next Dealing Day. Fractions of Shares may be issued. The Fund may reject any application; refunds are returned without interest. Applications are irrevocable once received, and Shares are issued only after cleared funds are confirmed.

Minimum Investment

USD 250,000 for initial and additional subscriptions, waivable by the Board; not applicable to the Manager, its executives, employees or connected persons.

Ineligible Applicants

Shares may not be issued or transferred to any person where doing so might cause the Fund tax liability, pecuniary disadvantage, or a requirement to register under US securities laws.

Eligible Investors

Any person (a) whose ordinary business includes buying and selling investments; (b) if a natural person, with individual or joint net worth above USD 100,000; or (c) if an institution, with discretionary assets above USD 1 million. Each applicant warrants that it has the knowledge and experience to evaluate the risks and can bear the loss of its entire investment.

Veridia-Related Restrictions

Shares generally may not be issued to residents of Veridia, non-resident Veridians, persons of Veridian origin or overseas corporate bodies owned by them, unless the Board authorises it and no violation of FII Regulations or Veridian securities laws results.

Form of Shares

Registered shares only; certificates issued within 28 days.

Suspension

Issues are suspended during any suspension of Net Asset Value calculation (see Section XIX).

Anti-Money Laundering

Applicants must verify identity and source of funds (for example certified passport and address documents for individuals; incorporation documents and director/beneficial-owner details for companies). The Administrator may refuse applications or redemptions until information is provided, and redemption proceeds are paid only to the account in the investor's name from which subscription monies came. Applicants represent that they are not sanctioned persons and that funds are not derived from unlawful activity.

XI. Redemptions

Shares are redeemable at the Shareholder's option on any Dealing Day after the Lock-up Period, at the quarterly Dealing Days, on at least 45 Business Days' written notice, at the Net Asset Value on the Valuation Day. The Board may permit redemptions during the lock-up.

- **Minimum residual holding:** the Shareholder must continue to hold Shares of at least USD 5,000 (variable by the Board); otherwise the Board may redeem the remainder.
- **10% gate:** if redemptions on a day equal or exceed 10% of issued Class A Shares, the Board may scale requests back pro rata, carrying the excess to later days with priority.
- **Faxed requests:** valid only if the signed original is received before the Dealing Day and the Administrator confirms receipt in writing within five Business Days.
- **Irrevocability:** a request, once given, is irrevocable unless the Board determines otherwise.
- **Settlement:** in USD, normally within 14 Business Days after the Dealing Day, by direct transfer at the Shareholder's risk and cost.
- **Compulsory redemption:** the Board may redeem Shares of ineligible holders, holders in breach of law or causing regulatory or tax issues, holders below the Minimum Holding (30 days' notice to top up), and all Shares if net assets fall below USD 5 million for three consecutive months.
- **Consolidation:** on crystallization, series that bore a Performance Profit Allocation are normally consolidated into the oldest such series, with the Reference Price reset.
- **Anti-money laundering:** redemptions may be refused or delayed pending information and are never paid to third-party accounts.

XII. Net Asset Value

Net Asset Value is determined by the Investment Manager (delegated to the Administrator) at each Valuation Day as total assets less total liabilities, and per-share values are rounded to four decimals. Valuation principles include:

1. Cash, deposits and receivables at face value unless the Board decides otherwise.

2. Listed securities at last traded price on the principal exchange (or mean of bid and ask if none), with fair-value discretion for the Board.
3. Managed funds at last published net asset value or redemption price.
4. Unlisted or illiquid securities at fair value determined by the Board or Manager having regard to cost, recent transactions, holding size and other factors.
5. Exchange-traded and OTC derivatives by reference to official settlement prices or counterparty valuations.
6. Non-USD amounts converted at rates the Board deems appropriate.
7. Securities not traded on a Valuation Day valued at the last trade within thirty days.

Each Class or series has its own Class Account; changes in portfolio value are allocated pro rata by prior Net Asset Value, with designated Class Adjustments (for example currency hedging costs) applied to the relevant Class.

XIII. Fees and Expenses

Initial Fee. As in the Definitions.

Management Fee. 2% per annum of Class A Net Asset Value (before that month's fee and any accrued Performance Profit Allocation), payable monthly in arrears.

Performance Profit Allocation. Calculated share by share so that only appreciating series bear it. At each year-end (or on redemption), it equals 20% of the positive difference between the series' Net Asset Value per Share (before current-year performance and Management Fees) and the Reference Price, subject to the High Water Mark. On crystallization the High Water Mark resets to the post-allocation Net Asset Value. It is paid to Class B Shareholders by dividend or redemption proceeds within 30 days of the Performance Period end. Secondary transfers during a Performance Period are treated as a redemption by the transferor.

Investment Advisor's Fee. Paid by the Investment Manager.

Administrator and Secretary. Approximately USD 45,000 per annum, plus fees for Zandrian tax filings.

Custodian. Fee per the custody agreement and agreed fee schedule.

Other Fees and Expenses. The Fund pays or reimburses the Manager for costs including negotiation of contracts, research data and software, computer services, custody, brokerage and trading costs, shareholder communications and meetings, insurance and litigation, legal, tax, audit and accounting fees, regulatory charges, distribution and placement fees, and other operational costs. Establishment expenses are reimbursed up to the lesser of 2% of subscriptions received in the Initial Offer Period or USD 2 million.

XIV. Reports and Financial Statements

The financial year ends 31 December. Unaudited semi-annual reports are sent within 90 days of each half-year end, and audited annual statements are posted to Shareholders and available for inspection at the Administrator's and the Fund's offices. The first audited statements cover the period from incorporation to 31 December 2030. The Fund has not traded and has no audited accounts as of the date of this document.

XV. Conflicts of Interest

The Board, Investment Manager, Advisor, Administrator, Secretary and Custodian may act for other funds with similar objectives and may deal with the Fund as principal or agent on arm's-length commercial terms. The Manager and Advisor and their affiliates may manage other accounts investing in the same assets, are not obliged to offer the Fund every opportunity, and will allocate opportunities equitably.

XVI. Risk Factors

An investment in the Fund carries substantial risk and is suitable only for persons who can lose their entire investment. Prospective investors should consider, among others:

- **Business risk / no operating history.** No assurance that objectives will be achieved.
- **Concentration and limited diversification.** Holdings may be few or concentrated in one sector, region or instrument type.
- **Investments not identified.** The Manager has not yet selected investments; investors rely on its judgment.
- **Competition for investments.** May reduce opportunities and returns.
- **Liquidity and market characteristics.** Illiquid investments, delayed settlement and adverse price movements on liquidation.
- **Borrowing and leverage.** Magnifies gains and losses and increases interest costs.
- **Counterparty risk.** Insolvency or failure of counterparties.
- **Net Asset Value considerations.** Redemption proceeds may be below the subscription price.
- **General economic and market conditions.** Rates, credit, inflation, laws, trade barriers and currency controls.
- **Currency exposure.** Shares are in USD while assets may not be; hedging may be incomplete.
- **Derivatives and futures.** High volatility, leverage, limited maturities, daily price limits, OTC illiquidity and, for uncovered options, potentially unlimited loss.
- **Short selling.** Theoretically unlimited loss; securities to cover may be unavailable.

- **Management risk.** Reliance on key individuals and on the Advisor.
- **Performance Profit Allocation.** May be paid on unrealized gains and may encourage riskier investments.
- **Substantial redemptions.** May force liquidation at unfavorable times or terms.
- **Transaction costs and price fluctuations.** High turnover costs; values can fall as well as rise.
- **Amortization of organizational costs.** Accounting treatment may lead to qualified financial statements.
- **Loss of FII registration.** Termination of the Sponsor's or the Fund's registration could force liquidation.
- **Risks of investing in Veridia and Veridian companies.** Political, social and economic instability; regional tensions; reliance on agriculture; differing accounting standards; evolving securities regulation; competition and capital needs.
- **Stock market volatility and smaller companies.** Thin trading, wider price swings, limited resources and higher transaction costs.
- **Reliance on the tax treaty.** The treaty may be renegotiated or terminated, or tax authorities may deny benefits.
- **Limitations on investments.** Ownership limits on sub-accounts and caps on debt securities.
- **Multinational litigation.** Difficulty joining parties and enforcing judgments.
- **Investment and repatriation restrictions.** Approvals and withholding taxes may apply and rules may tighten.
- **Regulatory status.** The Manager is not registered as an investment adviser; no separate counsel for the Fund or investors; regulators may adopt additional hedge-fund regulation.
- **Activities of the Investment Manager.** Not required to devote full time; other portfolios; inside-information trading restrictions; trade aggregation.
- **New investors and dilution.**
- **Non-transferability and limited redemption rights.** Transfers need Fund consent; redemptions only quarterly after lock-up.
- **Tax considerations and permanent establishment exposure.** Withholding may change; authorities may assert a permanent establishment, jeopardizing treaty benefits.

XVII. Taxation

The following is a fictional illustration of how a taxation section is structured. It does not describe any real tax law.

Investors should consult their own advisors on the consequences of subscribing for, holding and redeeming Shares in their country of citizenship, residence or domicile.

Zandria

The Fund holds a Category 1 Global Business Licence and is taxed at 15% on net income, with a deemed foreign-tax credit equal to the higher of actual foreign tax and 80% of Zandrian tax on foreign-source income (an effective 3%). There is no capital gains tax and no withholding tax on dividends or redemption proceeds. A tax residency certificate, renewed annually, depends on central management and control being demonstrably in Zandria.

Veridia

Subject to the treaty and the Fund having no permanent establishment:

- Capital gains on Veridian securities are not taxed in Veridia.
- Dividends are exempt in shareholders' hands (the distributing company bears distribution tax).
- Interest income is taxed at 20% (10% on certain convertible bonds).

If treaty benefits are unavailable or a permanent establishment exists, short-term gains on listed securities may be taxed at 15%, long-term gains may be exempt subject to securities transaction tax and a 10% minimum alternate tax, and other gains at higher rates. Securities transaction tax applies to dealings on Veridian exchanges at rates between roughly 0.017% and 0.25%, depending on the transaction type.

XVIII. Legal and Regulatory Considerations

Fictional illustration of structure only.

Zandria

- **Exchange controls:** none in force.
- **Regulatory:** the Fund qualifies as an investment company, is authorised as a collective investment scheme under the Zandria Securities Act, and operates under a Category 1 Global Business Licence subject to an annual fee and penalties for late payment.
- **Anti-money laundering:** under the national AML statute and code, the registrar verifies identity, source of funds and the legitimacy of subscription monies; failure to provide information permits refusal of applications or redemptions; redemption proceeds are never paid to third-party accounts.

Veridia

- **FII framework:** FIIs may invest in listed and unlisted shares, debentures and warrants, mutual fund units, government securities, exchange-traded derivatives, commercial

paper and similar instruments, and may register sub-accounts. A broad-based sub-account must have at least 20 investors with none holding more than 49%.

- **Ownership limits:** aggregate FII holding in a company is capped (24%, raisable by shareholder resolution); a single FII or broad-based sub-account may hold up to 10% (5% for corporate or individual sub-accounts); equity-related investments must be at least 70% of an FII's portfolio unless registered as a debt fund.
- **Participatory notes and offshore derivatives:** monthly disclosure to the regulator; restrictions on issuance by sub-accounts and a wind-down period for derivative-linked instruments.
- **Public offerings and takeovers:** disclosure guidelines and takeover regulations may affect entry and exit; thresholds trigger notification to the company and exchanges.
- **Exchange controls:** the central bank authorises foreign-currency and special non-resident rupee-type accounts for three years, renewable; proceeds may be repatriated after taxes.
- **Anti-money laundering:** transaction records above a threshold, a principal officer, suspicious-transaction reporting, and investor consent to disclosure to regulators and the financial intelligence unit.

XIX. General and Statutory Information

1. **The Fund.** Incorporated 15 February 2030 in Zandria as a public company; registered collective investment scheme; Category 1 Global Business Licence; regulated by the ZFSA.
2. **Share capital.** Class A (USD 100 par), Class B (USD 0.01 par) and Management Shares (USD 1 par), plus further classes the Board may determine.
3. **Rights of Shares.** Class A Shares have no general voting right (class votes only), a right to distributions, a share of assets on winding up and redemption proceeds under the Constitution.
4. **Change in share capital.** By Special Resolution (reduction, cancellation) or Ordinary Resolution (consolidation, subdivision).
5. **Transfer of Shares.** By written instrument with Board approval, subject to minimum holding rules; registration may be suspended up to 30 days a year; for Performance Profit Allocation purposes a transfer is treated as a redemption and a new subscription.
6. **Temporary suspension.** Of Net Asset Value calculations, issues and redemptions when a main market is closed, an emergency prevents disposals, prices cannot be ascertained, or remittances cannot be made at normal rates; notice is given and requests may be withdrawn.
7. **Publication of prices.** Available from the Administrator on request.

8. **Compulsory redemption.** Where a holder ceases to be eligible, breaches law, causes adverse tax or regulatory consequences (for example, 25% or more of a Class held by benefit plans, or over 60% held by Veridian-origin investors), or fails to provide information within ten days; unclaimed dividends may be forfeited after six years.
9. **Directors' interests.** No service agreements (other than resident directors employed by the Administrator); no shareholding qualification; no unusual interests in Fund contracts.
10. **Directors' remuneration.** USD 1,500 per annum each; two directors have waived fees; approximately USD 2,250 payable for the first financial year; expenses reimbursed.
11. **Transactions with directors.** Not voidable merely because of a director's interest, if disclosed in good faith.
12. **Retirement of directors.** At age 70; no retirement by rotation.
13. **Borrowing.** The Fund has no loan capital or borrowings at the date of this document; the Directors may borrow consistent with the investment approach.
14. **Meetings.** AGMs usually in Zandria on 21 days' notice; special meetings on request of 10% of Shares on 30 days' notice; quorum of two shareholders holding at least 10%.
15. **Indemnity.** Directors and officers (and those of the Manager) are indemnified against losses incurred in good faith in the course of duties.
16. **Material documents.**
    - *Investment Management Agreement* — terminable on 90 days' notice or immediately for uncured material breach; manager liable only for fraud, wilful default or gross negligence.
    - *Investment Advisory Agreement* — terminable on 30 days' notice; same liability standard.
    - *Administration Agreement* — terminable on 90 days' notice or for insolvency, uncured breach or loss of permission to act.
    - *Custody Agreement.*
    - *The Constitution.*
17. **Winding up.** By Special Resolution of Shareholders.
18. **Documents for inspection.** For at least 14 days (or the Offer Period if longer), the Constitution, the material agreements and the Zandria Companies Act may be inspected free of charge at the Administrator's offices and the Fund's registered office.
19. **Miscellaneous.** The Fund and Investment Manager were incorporated on 15 February 2030; the Fund has not traded, paid dividends or drawn up accounts; no commissions or discounts have been granted except as disclosed; no share capital is under option; there is no litigation pending or threatened; neither the Fund nor the Manager has subsidiaries or employees.

End of sample document. All entities, individuals, jurisdictions, regulators, laws, figures and dates are fictional.